



The inimitable outsider: contracting out public affairs from a consultant's perspective

The inimitable
outsider

23

Jochen Hoffmann

*Department of Media and Communication Studies, Karlstad University,
Karlstad, Sweden*

Adrian Steiner

Federal Department of Foreign Affairs, Bern, Switzerland, and

Otfried Jarren

University of Zurich, Zurich, Switzerland

Abstract

Purpose – Academic research on public affairs which aims to reconstruct the rationale for the involvement in public affairs, and the possible outsourcing thereof, focuses mainly on the perspective of the principal. Even though consultants are undoubtedly increasing in importance, their relevance as agents is often downplayed. This study seeks to empirically supplement the perspective of the consultant in order to identify potential inimitable functions that could explain why public affairs work is often contracted-out.

Design/methodology/approach – A nation-wide survey about public affairs consultants in Switzerland is based on an inductive empirical research design, which facilitates questions regarding which services consultants actually perform and what indispensable functions they claim to provide.

Findings – The results highlight lobbying, political PR, and [referendums and election] campaigns as the main areas of service. These services are associated with different functions. Lobbyists in particular define themselves as partisan players closely involved in political decision making. In contrast, political PR and campaigning are understood in terms of horizontal or vertical boundary-spanning. A somewhat technical justification for contracting out, referring to a special infrastructure and costs issues, is downplayed. Instead, the independent outside view facilitating innovation forms the most important generalizable frame when explaining the unique added value consultants have to offer.

Originality/value – The paper shows that the real or supposed independence of the consultant *vis-à-vis* the client constitutes an inimitable resource. The outsider-status facilitates the successful fulfilment of public affairs functions such as innovation, boundary-spanning, access and legitimising. Thus, it is vitally important for consultants to build up a reputation. When it comes to contracting-out decisions, impression management theories are capable of enriching public affairs theories that focus on cost-benefit-calculations.

Keywords Consultants, Politics, Communication, Lobbying, Transaction costs

Paper type Research paper

Communication flow in modern societies is complex and can be difficult to assess in a comprehensive way. Organizations respond to this challenge by enhancing tasks such as public affairs and by increasingly mandating consultants. This article examines where the two solutions – public affairs and consultancy – intersect. It is about public affairs consultants. They are external commercial agents managing political communication between a client organization and its politically relevant publics



Journal of Communication
Management
Vol. 15 No. 1, 2011
pp. 23-40

© Emerald Group Publishing Limited
1363-254X
DOI 10.1108/13632541111105231

(Grunig and Hunt, 1984, p. 285). Political mandates might come from diverse organizations such as companies, political parties, associations or governmental institutions (Novotny, 2000). The rationale of contracting out public affairs is most often discussed within the context of economic theories centred around the perspective of companies as potential clients (Getz, 2002). Their goal is to reconstruct the reasoning behind the decision as to whether to engage in public affairs and, if so, whether to do this work in-house or to outsource it. The goal of this paper is to remedy some “blind spots” in existing literature by adding the agency perspective. The empirical analysis is based on data from a nationwide survey about public affairs consultants in Switzerland. After identifying the relevant services performed by agencies, we tackle the following research questions:

- (1) Why public affairs? What are the perceived reasons clients need public affairs?
- (2) Why public affairs as a service? What are perceived reasons for why an external service provider is commissioned instead of in-house provision?
- (3) Why this agency? What are perceived reasons for this specific agency being selected over a competitor?

1. Literature review

There is broad consensus in the literature that there has been an increase in instances of consultants managing political communication over the last few decades. Scholars pay attention to the large number of contract lobbyists, as in the context of European Union decision-making, for instance (Andersen and Eliassen, 1995; Lahusen, 2003; Schendelen, 2005). An increased relevance of “spin doctors” in election campaigns has also been identified (Swanson and Mancini, 1996; Norris, 2002; Dulio, 2004). The explanations for this increase in the use of consultancy services are, however, rather vague: one proposition is that differentiation and interdependencies in the modern media society forces organizations and institutions to engage in professional political communication (Wilson, 1991; Blumler and Kavanagh, 1999; Swanson, 2004; Hoffmann and Steiner, 2009). Compared to that, economic approaches are more concrete. They increasingly attempt to reconstruct precisely the organizational rationale behind public affairs (Getz, 2002). With regard to the relevance of external service providers, however, they reach a different conclusion, based largely on transaction costs theory (Williamson, 1985) and agency theory (Ross, 1973). Against this background, the decision to contract-out service can be placed on a par with the basic economic decision of purchasing or producing, i.e. entering an agency relationship or manufacturing the product in-house. As such, the decision to contract-out essentially entails the principal weighing up different transaction costs:

Buying from others is less of a commitment: an activity is carried out on a contractual basis without the costs of creating permanent or semi-permanent internal components devoted to the activity. Yet, by contracting out, the firm faces moral hazards that arise when it must trust a self-interested agent (“opportunism”) and incurs the costs that arise from restricted human cognitive competence (“bounded rationality”) in specifying, monitoring, and policing the behavior of this agent (Kaufman *et al.*, 1993, p. 155).

Based on the “opportunism” of the agent and the “bounded rationality” of the principal, Kaufman, Englander and Marcus conclude that contracting out makes sense only when a firm is dealing with non-specific, infrequent political issues.

This corresponds to the “resource-based view” put forward by Oberman (2008), which states the main function of public affairs as being to catalyze latent political resources into operational resources. He argues that the two main, mutually reinforcing categories of resources necessary to influence politics are access to decision-makers and public legitimacy. The distinction drawn by Oberman is helpful, as it points to a broad range of PA activities ranging from discrete lobbying outside the public sphere to spectacular campaigns directly targeted at the public sphere. Oberman distinguishes four sub-types of resource in each case:

- (1) Representative access is based on influence on constituents that are important for a legislator. Acclamational legitimacy is based on the public acceptance of organizational goals.
- (2) Inertial access is a deep-seated membership in policy networks. Inherited legitimacy will be granted provided these networks are well rooted in society.
- (3) Associative access refers to the ability to build coalitions with partners holding access for other reasons. Reflected legitimacy is the transfer of legitimacy transferred from the partner with which the organization is publicly associated.
- (4) The final types are procured access and manufactured legitimacy. It is here that public affairs consultants are located:

Procured access is that arranged through political consultants, professional lobbyists, campaign contributions and the like. Although such access may be valuable in the short-run (perhaps even monopolized), its value cannot be sustained and it cannot serve as a source of long-run competitive advantage. Lobbyists and consultants are not rare, their strategies are not inimitable and alternative resources can easily substitute. Such access in isolation is hollow and when its legitimacy is questioned in a compelling manner (e.g. Enron, the U.S. lobbyist Jack Abramoff) it may prove less than worthless (Oberman, 2008, p. 254).

Manufactured legitimacy results from the shaping of public opinion through advertising and public relations activities aimed at creating a perception of the firm's goals, activities and claims as being in line with the public interest or within the bounds of the social contract. [...] Manufactured legitimacy relies on the artfulness of the message creator at symbolic manipulation (Oberman, 2008, p. 256).

This line of argument is familiar from discussions about the role of lobbyists (Karr, 2007) as well as so-called spin doctors, who are assumed to be responsible for the replacement of political substance in campaigns with superficial political rhetoric and propaganda (Sabato, 1981; Patterson, 1993; Blumler and Gurevitch, 1995; Mancini, 1999). Oberman's position is similar but less normative – he simply doubts the effectiveness of “symbolic manipulation” due to a lack of sustainability.

In essence, the resource-based view of public affairs is committed to an instrumental, one-sided flow of communication. The idea of a two-sided organizational boundary-spanning function (Adams, 1976; Aldrich and Herker, 1977) was taken up mainly by public relations research (e.g. Toth, 1986; Serini, 1993), but was later also applied to public affairs (e.g. Mitnick, 1993; Leichty and Springston, 1996; Griffin, 2005). Meznar (2005) makes a distinction within the concept by following Hofer and Schendel (1978, p. 4) who define strategy as “the basic characteristics of the match an organization achieves with its environment”. A match might be achieved by

moves from both directions: bridging means adapting the organization to environmental requirements, while buffering alters the environment to make it fit to the organization. Bridging becomes necessary in a stable but complex environment, whereas buffering seems to be promising in a simple but turbulent environment. In the case of both a simple and stable environment, there seems to be little need for continuous and sophisticated public affairs. Meznar (2005, p. 192) concludes with regard to consultants: "Firms pursuing a low activity strategy are the most likely to outsource sociopolitical boundary-spanning activities."

Overall, the literature aiming to establish the economic rationale behind public affairs has one thing in common: most authors downplay the relevance of public affairs as an external service. Consultants are marginalized as helpers that are useful only in very specific circumstances. A company interested in achieving a sustained competitive advantage, does not appear to have much reason to contract-out public affairs: why should the principal accept agency problems, such as moral hazards, and why should he bear all transaction costs if all he is provided with is a kind of knee-jerk public affairs that can easily be duplicated?

This theoretically inferred marginalization is in sharp contrast to the rise of consultants in the field of political communication, which has been empirically observed. Accordingly, we assume that the literature reviewed to date has overlooked potentially inimitable functions of the contracting out public affairs. Thus, the question that must be asked is whether the commissioning of a consultant can really be equated with the decision on whether to purchase or produce a product? Deciding on whether to purchase or to produce implies certainty as to what precisely is to be purchased or produced. The services of the consultant, in contrast, are intangible and less predictable (Fincham, 1999). The goal, and indeed the outcome, is often unclear - which is not to say that this is *per se* a bad thing. A consultant can certainly be of assistance when defining public affairs objectives. Thus, a blind spot in the economic literature on public affairs is the failure to examine the potentially unique innovation function of consultants. It is difficult to integrate this proposition into rational decision-making models, since innovation entails the calling into question of fixed organizational parameters, such as pre-defined objectives. These are usually taken for granted. They function as prerequisite for calculating transaction costs and assessing the extent of agency problems.

The potential to question pre-defined objectives and to innovate derives simply from the consultant's position as an outsider. This enables him to offer an independent view, which can help broaden the client's horizon. He is able to offer alternative definitions and solutions that the client himself is not able to promote on account of "the rules of the game", i.e. the restrictions within the system of which he is a part (Simon, 2002). The consultant, meanwhile, can play the role of a court jester and tell his client the inconvenient truth. This ability to challenge organizationally rooted - but perhaps ineffective - observation patterns is an exclusive function of outsourcing. There is no competition between in-house and external providers: if we need innovation, if we need open informational loops, a fresh view from outside is indispensable (Crozier, 2007). Based on this logic, it is likely that the innovation-function could play an important role for consultants positioning themselves as inimitable service providers.

Of course, the position of the outsider providing the organization with an inimitable added value can also be abused, as critical evaluations of management consultants illustrate (e.g. Jackson, 1996; Sturdy, 1997; Fincham, 1999). The public affairs consultant may metamorphose into an “acceptant legitimizer” (Broom and Smith, 1979), a role he can fulfill based on his alleged independence. This would allow him to access critical stakeholders the client does not wish to deal with officially, for instance. He might also help to legitimize decisions that have already been taken. He might even become a tool in internal power struggles or be made a scapegoat, if risky strategies have to be taken and fail (Mitnick, 1993).

In all of these cases, the assumed independence becomes a legitimizing weapon used against critical external and internal stakeholders. Naturally, this goes against the idea of innovation. However, even if such strategy might be criticized on normative grounds, the consultant’s position as an “outsider” is nevertheless every bit as vital in this context as it is for the fulfillment of innovation functions. It is “effective to engage a reputable outside agent in order to establish the firm’s ‘objectivity’” (Kaufman, Englander & Marcus, p. 161-162), because in-house personnel cannot be regarded to be objective. Thus, alleged (but not real) independence also constitutes a non-substitutable resource. To use Oberman’s terminology, it is a unique catalytic resource providing associative access and reflected legitimacy.

This allows additional conclusions to be drawn with regard to the question “why this agency”? Credibility appears to be very important here. The argument that outsourcing could have a legitimizing function that is not inevitably based on real independence, but on a make-believe independence, leads to the assumption that impression management aiming for an elevated reputation is particularly important to this type of professional (Clark, 1995). It might even be “at the core of much consultancy work” (Clark and Salaman, 1996, p. 174).

The influence of the impression management strategies of both consultants and clients has to be taken into account when conducting empirical research. The literature reviewed is very much focused on the rationale of the company as principal (Getz, 2002). The downside of this is that there is not much reflection on the principal’s natural need to appear to be autonomous from agents (Tedeschi *et al.*, 1973). Just as a politician would not wish to be perceived to be a mere puppet of the spin doctors, a CEO would be wary of being seen to be highly dependent on consultants.

However, if we instead switch to the perspective of the agent, the situation changes completely: here we witness the consultant’s want to justify its own agency role in order to demonstrate that the principal is very much in need of this service. Accordingly, one explanation as to why external service providers are often marginalized in public affairs literature is the narrow focus on the self-serving perspective of the principal. Of course, when analyzing the agent’s view, we are confronted with another self-serving perspective. However, if we add this perspective to the existing literature, it may provide an altogether more balanced picture.

In summary, economic theories in particular offer valuable hints with regard to public affairs functions. Access, legitimacy and boundary-spanning are rationales that explain why organizations become involved in politics. However, inimitable outsourcing functions are rarely mentioned and the relevance of public affairs consultants is downplayed. In contrast, we argue that the consultant’s (real or alleged) “outsider status” may serve as a non-substitutable resource enabling innovation,

facilitating access and contributing to the legitimacy of an organization. The empirical consequence involves challenging the “principal-bias” of existing public affairs literature by analyzing the agent’s perspective. In isolation both perspectives are self-serving for practitioners, yet together they might contribute to a more accurate and balanced picture that would allow for new scientific insights.

2. Method

The goal of the empirical analysis is to reconstruct the functions of public affairs consultants from the agencies’ perspective. Potential functions are located on the three levels of a typical decision-making process of the principal (Mitchell, 1994) that has to be reflected by the agent:

- (1) Why public affairs? How can we convince the client that he needs public affairs?
- (2) Why public affairs as a service? How can we convince the client to commission an agency, rather than performing public affairs in-house?
- (3) Why this agency? How can we convince him to commission our agency and not a competitor?

Furthermore, we have taken into account the diversity of public affairs services, in an attempt to identify significant functional differences between the main service areas.

Despite the fact that we carried out a quantitative survey about consultants (Hoffmann *et al.*, 2007), the research design as such is inductive. Based on explorative interviews with practitioners and the literature review, we were able to compile an exhaustive list of potential public affairs functions and to allocate these to the three-step decision-making process. This justifies the use of a survey. However, due to the failure of the literature to address the consultants’ perspective, thus far, we were not able to deduce many conclusions about the underlying structures and how the functions relate to one another. The assumption that forms the starting point of our work is the hypothesis that, unlike many principals, the agents do not downplay their role. On the contrary: consultants are supposed to highlight their functional relevance for clients.

The aim, therefore, was to produce descriptive results that can be generalized without speculating too much about causal links. This is why we selected a broad field access. The nation-wide survey was conducted in Switzerland. As a half-direct, semi-presidential consensus democracy, Switzerland is a good case study that can be used to explore the variety of public affairs services and functions. The structural openness of its political institutions, which is an effect of “corporatism” and “concordance”, offers many possibilities for interest representation, thereby generating a high demand for consulting in lobbying. Furthermore, the existence of direct democratic procedures provides additional opportunities for consultants to engage in other fields of public affairs apart from lobbying and elections. Finally, the structural context of a small European country like Switzerland makes this case study more likely to reveal not only differences, but also integrative links between services and functions.

Our goal was to identify all agencies in Switzerland offering public affairs. The findings of our explorative interviews indicated that most PA consultants in Switzerland work in public relations firms that offer a broad range of services in various fields of communication. We were able to identify all public relations firms

with the help of an address broker's comprehensive database. The questionnaire addressed the highest-ranking person in charge of public affairs, or the CEO of the agency. 337 of 641 agencies responded to the questionnaire (53 percent); 236 agencies stated that they do not offer any public affairs services on a regular basis. Once these had been sorted out, 101 respondents formed the sample that was analyzed.

A countercheck was performed to prove the reliability of the field access. All respondents, as well as an additional 87 experts in politics, associations, and corporations were asked to name the most relevant public affairs consultants in Switzerland. The result was that we had to add only another 11 consultants that were not included in our initial database. This confirmed that we had already identified almost every agency offering public affairs in Switzerland.

Our results confirmed the assumption that most agencies do not specialize solely in public affairs. It transpired that the percentage share of sales in public affairs services was only 35 percent. As such, it was especially important to make it clear to the respondents that we were interested only in services directly concerning their political work. Thus, when we asked, e.g. for the relevance of consulting to media work or coaching, they were requested only to indicate the relevance of the task within public affairs mandates.

When it comes to the descriptive analysis of quantitative data collected within an inductive research design, factor analysis is one of the most useful tools to detect the underlying structures of data. We selected the principal component analysis with varimax rotation. It measures multivariate correlations, allowing for the bundling of single items to factors indicating generalizable functions of public affairs. According to our approach the number of factors was not predefined. Instead, we used the Kaiser-criterion and the screeplot to identify the appropriate number of factors. We used only results supported by an MSA value (measure of sampling adequacy) of 0.6 minimum. Factors with a value of at least 0.5 are treated as significant.

We applied the factor analysis to the three functional levels of the decision-making process and to potential services in order to identify main service areas. In addition, we outlined the perceived relevance of all single items and analyzed correlations between the main service areas and the functional factors identified.

3. Results

3.1 *Services in public affairs*

Table I illustrates the frequency of public affairs services. It shows the percentage of agencies offering single services often or very often. On the whole, campaign and media-related services are the most significant. We also note the relevance of services related to direct democratic procedures: 29 percent of all practitioners said their agencies are often engaged in referenda campaigns, whereas fewer work regularly in election campaigns (23 percent). The findings indicate that mass media and the public play an important strategic role for consultants. Those services less engaged with the media, such as lobbying, are less prominent, but not unimportant.

This leads to the question as to which services are more likely to be offered together by one agency. The factor analysis first points out the expected division between campaigning and lobbying services (see Table II). A third factor consists of services oriented towards the public sphere. We refer to this factor as political public relations, since we asked only for services within public affairs mandates. Overall, this

Table I.
Descriptive statistics:
frequency of public
affairs services

	Percentage of Agencies ^a
Media work	50
Information campaigns	43
Crisis PR	30
Coaching/training	29
Referendum campaigns	29
Image campaigns	28
Lobbying in the area of legislation	25
Election campaign	23
Lobbying in the area of law execution	17
Evaluations	15
Mediations/round tables etc.	13
International PR	10
Lobbying of overseas organizations	10
Lobbying in the area of subsidies/encouraging company start-ups	5
Lobbying in the area of public procurement	2

Note: $n = 91-101$; ^aall figures in percent, on a seven-point scale from 0 = never; via 1 = very rarely to 6 = very often, 5 or 6 was selected

Table II.
Factor analysis: public
affairs services

	Factor A Political PR	Factor B Lobbying	Factor C Campaigning
Image campaigns	0.81	0.04	0.12
Information campaigns	0.74	-0.08	0.24
Crisis PR	0.69	0.30	0.21
Coaching/training	0.67	0.21	0.04
Media work	0.64	0.14	0.39
International PR	0.60	0.42	-0.35
Evaluations	0.57	0.23	-0.12
Mediation/round tables etc.	0.52	0.40	-0.12
Lobbying in the area of legislation	0.18	0.81	0.06
Lobbying in the area of public procurement	0.02	0.78	0.30
Lobbying in the area of implementation of legislation	0.21	0.65	-0.12
Lobbying in the area of subsidies/encouraging company start-ups	0.14	0.58	0.34
Lobbying of overseas organizations	0.45	0.46	-0.30
Referendum campaigns	0.17	0.12	0.87
Election campaigns	0.05	0.06	0.84
Explained variance	25,5	18,4	14,6
Eigenvalue	3,8	2,8	2,2

Notes: Method of extraction: main component analysis; rotation method: Varimax with Kaiser normalization. MSA = 0.77

differentiation should not be overestimated, since factor analysis identifies only the relative distance and the relative closeness between items. For example, every fourth agency in the sample offers at least one lobbying service as well as one campaigning service often or very often. Thus, the evidence of differentiation between political public relations, lobbying and campaigning is far from indicating highly-specialized

fields of public affairs. This allows the development of integrated communication strategies as part of multi-stakeholder processes. Accordingly, the question that arises is to what extent the three service areas are interconnected with perceived functions.

3.2 *Why public affairs?*

The question of why public affairs is necessary as an organizational task is very closely linked with assumed societal functions and the professional self-perception of practitioners. Table III shows that the somewhat interpersonal term “trust” is most important to consultants. Three out of four agree strongly or very strongly with the function of building trust between societal actors. The concept of the lawyer standing by his client is also important. The middle-range items describe further mediating functions. At the lower end there are only two functions not supported by a majority. Both describe the consultant’s role as a political actor in close proximity to political decision-making.

By means of a factor analysis, it was possible to reduce these functions to three distinct factors representing overall functions of public affairs (see Table IV):

- (1) The first factor stresses the key term “trust” and a mediating role between societal players. We call it “horizontal boundary-spanning”.
- (2) The second factor connects the role of the lawyer with the two items indicating a distinct political self-perception. We call it “political advocacy”.
- (3) The third factor stresses top-down and bottom-up communications between politicians and citizens. We call it “vertical boundary spanning”.

These results reveal a potential role conflict between boundary-spanning roles stressed by Mezner and the advocacy function more compatible with Oberman’s resource-based view. Therefore, it is instructive to see how the factors correlate with the three service areas political public relations, lobbying and campaigning. The results are displayed in Table V:

- Consultants who provide services mainly in political public relations stress the function of “horizontal boundary-spanning”.
- Lobbyists stress the function of “political” advocacy.
- Consultants who are involved predominantly in referenda and election campaigns stress the function of “vertical boundary spanning”.

	Percentage of Agencies ^a
We try to build trust between societal players	76
We see ourselves as lawyers asserting our clients’ interests	64
We contribute to a high quality communication of politics <i>vis-à-vis</i> citizens	59
We contribute to the reconciliation of various societal interests	55
We contribute to citizens’ interests reaching politicians	52
We support politicians in decision making	49
We improve the quality of political decisions	42

Notes: *n* = 95-99; ^aall figures in percent, on a six-point scale from 1 = do not agree to 6 = agree strongly, 5 or 6 was selected

Table III.
Descriptive statistics:
relevance of public affairs
functions

Table IV.
Factor analysis: public
affairs functions

	Factor A Horizontal boundary- spanning	Factor B Political advocacy	Factor C Vertical boundary- spanning
We contribute to the reconciliation of various societal interests	0.91	− 0.01	0.04
We try to build trust between societal players	0.83	0.20	0.16
We support politicians in decision making	0.13	0.72	0.25
We see ourselves as lawyers asserting our clients' interests	− 0.09	0.71	− 0.27
We improve the quality of political decisions	0.24	0.70	0.30
We contribute to a high quality communication of politics <i>vis-à-vis</i> citizens	− 0.04	0.19	0.80
We contribute towards citizens' interests reaching the politicians	0.26	− 0.03	0.78
Explained variance	23,7	22,7	21,5
Eigenvalue	1,7	1,6	1,5

Notes: Method of extraction: main component analysis; rotation method: Varimax with Kaiser
normalization; MSA = 0.64

Table V.
Simple correlations:
services and functions of
public affairs

	Horizontal boundary-spanning	Political advocacy	Vertical boundary-spanning
Political PR	0.30*	0.17	0.09
Lobbying	− 0.01	0.24**	0.00
Campaigning	− 0.20	0.02	0.37*

Notes: * $p < 0.01$; ** $p < 0.05$; $n = 83$; Pearson's r

Campaigners in particular stress the vertical mediating role. This suggests compatibility with the idea of deliberate priming, as put forward by Medvic (2001) as a democratic role model for campaigners. The concept aims to reconcile the opposition between strategic top-down-communications as buffering and participatory bottom-up-communications as bridging, to use Mezner's terminology. This notion is supported by the outcome that both the top-down- and the bottom-up-item load on the same factor. It indicates that practitioners do not perceive a conflict between buffering and bridging. Furthermore, it is important to mention that vertical mediation is the only role model with an explicit link to the general public. Against this background, the lobbyist's role as a lawyer close to political decision-making is more likely to be committed to buffering and averse to democratic responsiveness.

3.3 Why public affairs as a service?

In general, the three overall functions identified can be shared by both internal staff and external service providers. As discussed in the literature review, agencies must

provide evidence of an added value of their external service as such. Table VI shows the ratings of the most prominent outsourcing functions. The three most emphasized items reflect the consulting ideal offering an inimitable added value in comparison to in-house personnel: the independent external actor, free from the structural restrictions of the client's system. As a result, he is able to identify oversights and alternatives.

The respondents also confirm functions that can be regarded more critically. Supporting problematic decisions that have already been taken does not require any real independence. Instead, it requires an imagined independence. The consultant appears as a legitimizing, objective authority, which makes it easier to overcome the resistance of other members of the organization to changes desired by the managing client. This illustrates the more instrumental use of consultants, which may also function with respect to critical stakeholders outside of the organization. In contrast to the normative ideal of the independent consultant or the instrumental abuse of the ideal, more pragmatic outsourcing functions – such as a specialized infrastructure, greater flexibility or the reduction of costs, as discussed within the scope of transaction costs theories – are considered to be less important.

These different perspectives on outsourcing functions are also reflected in the results of a factor analysis (see Table VII). According to our theoretical considerations we label these as follows:

- (1) The first factor represents the aforementioned unique consulting role. It consists of the three most important outsourcing functions. We call it “innovation”.
- (2) The second factor combines two items that could be evaluated more critically. In accordance with the “acceptant legitimizer” discussed above, we refer to this as “legitimacy”.
- (3) The third factor consists of items stressing pragmatic reasons for outsourcing. They emphasize the provision of a certain infrastructure or cost benefits. We call this “resources”.

When examining links between these factors and service areas, there is only one significant correlation. The outsourcing function legitimacy is particularly important for practitioners working in the area of political public relations ($r = 0.25$). One might

Agencies ...	Percentage of agencies ^a
... have an alternative perspective	75
... bring new ideas into client organization	75
... ensure the independent evaluation of clients' communication strategies	64
... support problematic decisions	51
... have a specialized infrastructure	46
... assume mediation functions <i>vis-à-vis</i> critical stakeholders	43
... can be replaced more easily in the event of poor performance	32
... are commissioned because in-house provision would be too expensive	11

Notes: $n = 98$ -100; ^aall figures in percent, on a six-point scale from 1 = is not the case to 6 is very much the case, 5 or 6 was selected

Table VI.
Descriptive statistics:
relevance of public affairs
functions as an external
service

Table VII.
Factor analysis: public
affairs functions as an
external service

Agencies ...	Factor A Innovation	Factor B Legitimacy	Factor C Resources
... bring new ideas to client organization	0.82	-0.01	0.01
... have an alternative perspective	0.79	0.13	0.07
... ensure the independent evaluation of clients' communication strategies	0.75	0.32	0.05
... assume mediation functions <i>vis-à-vis</i> critical stakeholders	0.02	0.86	0.01
... support problematic decisions	0.32	0.78	0.09
... can be replaced more easily in the event of poor performance	0.02	0.49	0.41
... are commissioned because in-house provision would be too expensive	-0.03	0.15	0.85
... have a specialized infrastructure	0.49	-0.08	0.54
Explained variance	27,4	21,5	15,1
Eigenvalue	2,2	1,7	1,2

Notes: Method of extraction: main component analysis; rotation method: Varimax with Kaiser normalization. MSA = 0.73

think here of information campaigns or crisis communications attempting to convince the public of the necessity of certain political decisions. However, even this correlation is weak. Obviously, the outsourcing functions identified represent universal frames that apply in very different contexts.

3.4 Why this agency?

After posing questions regarding public affairs as a societal function and as an outsourcing function, the third important question to a service provider is: Why this agency? Why are we better than our competitors? The most important criterion shown in Table VIII is the agency's reputation. This is followed by items indicating that public affairs as a service is very much a "people business", relying on social networks. Recommendations are relevant, as are personal acquaintanceships. This highlights the relevance of access, the public affairs resource as discussed by Oberman. Furthermore,

Table VIII.
Descriptive statistics:
relevance of selection
criteria for agency

We ...	Percentage of agencies ^a
... have a good reputation in our field of activity	73
... have good media contacts	66
... were recommended by third parties	64
... know the client personally	58
... have good contacts in politics	56
... have basic political beliefs similar to those of the client	50
... have a specialized infrastructure	41
... are affordable	38
... are publicly known	33

Notes: *n* = 100-101; ^aall figures in percent, on a 6-point scale from 1 = unimportant to 6 = very important, 5 or 6 was selected

it is interesting to note that, again, the core rationale of transaction costs theory, such as infrastructure not being available in-house, as well as the fees charged, are widely neglected. Finally, whether or not an agency is publicly known appears to be less relevant.

In this respect, however, a factor analysis shows some interesting connections (see Table IX):

- (1) The first factor connects personal contacts with similar political beliefs as a common ground. We call it ideologically bounded access. In these cases, the agency functions as an integral part of a political milieu.
- (2) The second factor is interesting for two reasons. First, reputation as the most important criteria and publicity as the least important load thereon. Second, there is a negative value on the cost-item. In other words, in this context it is not helpful for agencies to be affordable. On the contrary, they seem to have a competitive advantage when they are expensive. We call this factor high-end reputation transfer.
- (3) The third factor is a combination of third-party recommendations and a specialized infrastructure that competitors are unable to offer. We call it infrastructural support.

The factor of high-end reputation transfer comes closest to the assumption that impression management is particularly important for external service providers. It is plausible that the main function here is to transfer reputation from the agency to the client. Being expensive seems to be an accepted shortcut for assuming a high-end reputation. Due to its low rating, publicity is probably just an expected side-effect of the reputation, but not an end in itself. The relevance of this factor illustrates that public affairs as a service cannot be explained by mere cost-benefit-

We ...	Factor A Ideologically bounded access	Factor B High-end reputation transfer	Factor C Infrastructural support
... have basic political beliefs similar to those of the client	0.79	0.01	-0.07
... have good media contacts	0.71	0.35	-0.03
... have good contacts in politics	0.68	0.41	-0.07
... know the client personally	0.64	-0.26	0.25
... are publicly known	0.09	0.71	-0.07
... have a good reputation in our field of activity	0.22	0.64	0.09
... are affordable	0.33	-0.60	-0.38
... were recommended by third parties	-0.15	-0.05	0.76
... have a specialized infrastructure	0.23	0.17	0.71
Explained variance	24.9	18.4	14.6
Eigenvalue	2.2	1.7	1.3

Table IX.

Notes: Method of extraction: main component analysis; rotation method: varimax with Kaiser normalization; MSA = 0.65

Factor analysis: selection criteria for agency

calculations and market mechanisms. In these cases, the competitive advantage does not lie in being more affordable than other agencies. The secret of success is less the performance itself. Instead, it is more a convincing (and expensive) communication of reputation.

The reputation factor significantly correlates with the service fields of political public relations and lobbying (see Table X). In contrast, ideologically bounded access and infrastructural support are more relevant to the campaigner. It is plausible to assume that he is very much restricted by ideological boundaries and will run campaigns in a rather operative and technical way. Thus, ultimately, it is the oft-mystified “spin doctor” that most closely corresponds to the marginalizing role of the consultant as a helpmate for the principal.

4. Conclusion

The rationale of this paper is based on a contradiction: on the one hand, public affairs consultancy is said to be on the rise, while on the other academic literature employing economic approaches like transaction costs theory or agency theory downplay the relevance of consultants. What they fail to notice is a sustainable added value for contracting out public affairs.

We instead argue that public affairs functions such as access to stakeholders, public legitimacy and boundary spanning can be more easily fulfilled with the support of an external authority who is, or at least seems to be, independent from the client. Being accepted as an outsider constitutes the inimitable resource of the consultant. Real independence even enables consultants to perform the most demanding task for organizations: innovation. It allows for the rethinking of problem definitions, goal definitions and more creative solutions. Unlike in-house personnel, a consultant is able to confront clients with new and sometimes challenging outside views when managing political communication with their politically-relevant publics.

This inimitable resource has been overlooked, because the literature for the most part merely reconstructs the rationale of public affairs and the potential outsourcing thereof from the perspective of the principal. The fact that one way of tackling agency problems is to simply marginalize the influence of the outside force often goes unnoticed. The principal wishes to appear autonomous. Conversely, the agent wishes to appear significant. Consequently, our empirical goal is to supplement the existing literature with the agent’s perspective on outsourcing. This is based on the rationale that the reconstruction of a second perspective, even if it is equally biased, might nevertheless contribute to a more complete overall picture.

Table X.
Simple correlations:
services and selection
criteria for agency

	Ideologically bounded access	High-end image transfer	Infrastructural support
Political PR	0.17	0.32*	0.16
Lobbying	0.18	0.42*	0.07
Initiative/referendums/election campaigning	0.25**	0.11	0.23**

Notes: * $p < 0.01$; ** $p < 0.05$; $n = 88$; Pearson’s r

We reconstruct the agency perspective along a three-step model of decision-making:

- (1) Why is public affairs needed?
- (2) Why is public affairs needed as an external service?
- (3) What are selection criteria when commissioning a specific public affairs agency?

The inimitable
outsider

37

The data are derived from a nationwide survey of 101 consultancies in Switzerland offering public affairs services for private companies, public institutions, parties and nonprofit organizations. By means of factor analysis, we identified three distinct service areas:

- (1) political public relations;
- (2) lobbying; and
- (3) referendums and election campaigning.

With regard to the general function of public affairs, consultants in these areas favor different arguments. Political public relations prefers the boundary-spanning between different societal players on a horizontal axis, campaigners prefer to mediate between politics and citizens on a vertical axis, and lobbyists prefer to represent political interests as partisan advocates who participate in political decision-making. There is little difference between consultants from these various service areas when demonstrating their distinctive added value compared to in-house practitioners. The majority of consultants highlight their ability to facilitate innovation based on their independent external view. They also concede the legitimizing function in the sense that external consultants can promote particular interests or decisions that have already been made by legitimizing them in the name of an external authority. Infrastructural support as a distinctive outsourcing argument is considered to be less relevant. A somewhat more technical added value seems to work only as a competitive advantage for campaigners. Additionally, service providers in this field highlight the benefits of an ideologically-grounded personal network. Overall, reputation is seen as the most important shortcut when evaluating market participants and making decisions in favor or against certain suppliers. The image transfer factor is stressed by consultants in the area of political public relations and lobbying in particular.

The results confirm our hypothesis that consultants accentuate the significance of their services. They challenge the common downplaying of outsourcing functions encountered in the literature. Furthermore, the results challenge public affairs theories that try to reconstruct the rationale of public affairs on the basis of cost-benefit-calculations alone. The majority of respondents do not draw attention to any added value of sturdy and quantifiable criteria such as a concrete infrastructure or specialist expertise. Moreover, the fees charged fulfil a function diametrically opposed to the market logic: often, affordable services by no means constitute a competitive advantage. On the contrary, consultants assume that clients use expensive fees as an indication of an elevated reputation, which is assumed to be the most important selection criteria when commissioning a service provider.

In other words, the principal is supposed to solve agency problems by deciding contrary to an economic rationale. This brings a serious theoretical challenge: bringing together the economic strand of public affairs theory with impression management

theories. To improve theory, future empirical research should systematically compare different practitioners' perspectives on public affairs. There are some indications that the perceptions of clients and consultants diverge dramatically (Kolodny, 2000; Hoffmann *et al.*, 2008). Clients tend to construct a self-serving autonomy, while consultants tend to construct a self-serving serviceability. Both are per se biased. Clarifying and getting to the bottom of this issue will constitute a considerable added value for researchers willing to take on the role of the inimitable outsider from the academic world.

References

- Adams, J.S. (1976), "The structure and dynamics of behavior in organizational boundary roles", in Dunette, M. (Ed.), *Handbook of Organizational and Industrial Psychology*, Rand McNally, Chicago, IL, pp. 1175-99.
- Aldrich, H. and Herker, D. (1977), "Boundary spanning roles and organization structure", *The Academy of Management Review*, Vol. 2 No. 2, pp. 217-30.
- Andersen, S.S. and Eliassen, K.A. (1995), "EU lobbying: the new research agenda", *European Journal of Political Research*, Vol. 27 No. 4, pp. 427-41.
- Blumler, J.G. and Gurevitch, M. (1995), *The Crisis of Political Communication*, Routledge, London.
- Blumler, J.G. and Kavanagh, D. (1999), "The third age of political communication: influences and features", *Political Communication*, Vol. 16 No. 3, pp. 209-30.
- Broom, G.M. and Smith, G.D. (1979), "Testing the practitioner's impact on clients", *Public Relations Review*, Vol. 5 No. 3, pp. 47-59.
- Clark, T. (1995), *Managing Consultants. Consultancy as the Management of Impressions*, Open University Press, Buckingham.
- Clark, T. and Salaman, G. (1996), "Telling tales: management consultancy as the art of story telling", in Grant, D. and Osrick, C. (Eds), *Metaphor and Organization*, Sage, London, pp. 166-84.
- Crozier, M. (2007), "Recursive governance: contemporary political communication and public policy", *Political Communication*, Vol. 24 No. 1, pp. 1-18.
- Dulio, D.A. (2004), *For Better or Worse? How Professional Political Consultants Are Changing Elections in the United States*, State University of New York Press, Albany, NY.
- Fincham, R. (1999), "The consultant-client relationship: critical perspectives on the management of organizational change", *Journal of Management Studies*, Vol. 36 No. 3, pp. 335-51.
- Getz, K. (2002), "Public affairs and political strategy: theoretical foundations", *Journal of Public Affairs*, Vol. 2, pp. 305-29.
- Griffin, J.J. (2005), "The empirical study of public affairs: a review and synthesis", in Harris, P. and Fleisher, C. (Eds), *The Handbook of Public Affairs*, Sage, London, pp. 458-80.
- Grunig, J.E. and Hunt, T.E. (1984), *Managing Public Relations*, Holt Rinehart & Winston, New York, NY.
- Hofer, C. and Schendel, D. (1978), *Strategy Formulation. Analytical Concepts*, West Publishing Co., St Paul, MN.
- Hoffmann, J. and Steiner, A. (2009), "Selling out political communications: services and functions in public affairs consulting", in Rogojinaru, A. and Wolstenholme, S. (Eds), *Current Trends in International Public Relations*, Tritonic, Bucharest, pp. 271-95.
- Hoffmann, J., Steiner, A. and Jarren, O. (2007), *Politische Kommunikation als Dienstleistung. Public-Affairs-Berater in der Schweiz*, UVK, Konstanz.

- Hoffmann, J., Steiner, A. and Jarren, O. (2008), "Unravelling the muddle of services and clients: political communication consulting", *International Journal of Strategic Communication*, Vol. 2 No. 2, pp. 100-14.
- Jackson, B.G. (1996), "Re-engineering the sense of self: the manager and the management guru", *Journal of Management Studies*, Vol. 33 No. 5, pp. 571-90.
- Karr, K. (2007), *Democracy and Lobbying in the European Union*, Campus, Frankfurt a. M.
- Kaufman, A.M., Englander, E.J. and Marcus, A.A. (1993), "Selecting an organizational structure for implementing issues management. A transaction costs and agency theory perspective", in Mitnick, B.M. (Ed.), *Corporate Political Agency: The Construction of Competition in Public Affairs*, Sage, London, pp. 138-68.
- Kolodny, R. (2000), "Electoral partnerships: political consultants and political parties", in Thurber, J. and Nelson, C. (Eds), *Campaign Warriors: Political Consultants in Elections*, Brookings, Washington, pp. 110-32.
- Lahusen, C. (2003), "Moving into the European orbit. Commercial consultants in the European Union", *European Union Politics*, Vol. 4 No. 2, pp. 191-218.
- Leichty, G. and Springston, J. (1996), "Elaborating public relations roles", *Journalism and Mass Communication Quarterly*, Vol. 73 No. 2, pp. 467-77.
- Mancini, P. (1999), "New frontiers in political professionalism", *Political Communication*, Vol. 16 No. 3, pp. 231-45.
- Medvic, S.K. (2001), *Political Consultants in US Congressional Elections*, Ohio State University Press, Columbus, OH.
- Meznar, M.B. (2005), "The organization and structuring of public affairs", in Harris, P. and Fleisher, C. (Eds), *The Handbook of Public Affairs*, Sage, London, pp. 187-96.
- Mitchell, V.W. (1994), "Problems and risks in the purchasing of consultancy services", *The Service Industries Journal*, Vol. 14 No. 3, pp. 315-39.
- Mitnick, B.M. (1993), "Agents in analysis. The advisory role in public affairs management", in Mitnick, B.M. (Ed.), *Corporate Political Agency: The Construction of Competition in Public Affairs*, Sage, London, pp. 169-86.
- Norris, P. (2002), "Campaign communications", in LeDuc, L., Niemi, R. and Norris, P. (Eds), *Comparing Democracies 2. New Challenges in the Study of Elections and Voting*, Sage, London, pp. 127-47.
- Novotny, P. (2000), "From Polis to Agora, the marketing of political consultants", *The Harvard International of Press/Politics*, Vol. 5, pp. 12-26.
- Oberman, W.D. (2008), "A conceptual look at the strategic resource dynamics of public affairs", *Journal of Public Affairs*, Vol. 8, pp. 249-60.
- Patterson, T.E. (1993), *Out of Order: How the Decline of the Political Parties and the Growing of the News Media Undermine the American Way of Electing Presidents*, Knopf, New York, NY.
- Ross, S. (1973), "Economic theory of agency: the principal's problem", *American Economic Review*, Vol. 63 No. 2, pp. 134-9.
- Sabato, L. (1981), *The Rise of Political Consultants. New Ways of Winning Elections*, Basic Books, New York, NY.
- Schendelen, R.V. (2005), "Managing government relations in the European Union", in Harris, P. and Fleisher, C. (Eds), *The Handbook of Public Affairs*, Sage, London, pp. 201-14.
- Serini, S.A. (1993), "Influences on the power of public relations professionals in organizations: a case study", *Journal of Public Relations Research*, Vol. 5 No. 1, pp. 1-25.

-
- Simon, F.B. (2002), "The de-construction and re-construction of authority and the role of management and consulting", *Social Systems*, Vol. 8 No. 2, pp. 283-93.
- Sturdy, A. (1997), "The dialectics of consultancy", *Critical Perspectives on Accounting*, Vol. 8 No. 5, pp. 511-53.
- Swanson, D.L. (2004), "Transnational trends in political communications", in Esser, F. and Pfetsch, B. (Eds), *Comparing Political Communication. Theories, Cases and Challenges*, Cambridge University Press, Cambridge, pp. 45-63.
- Swanson, D.L. and Mancini, P. (1996), *Politics, Media, and Modern Democracy: An International Study of Innovations in Electoral Campaigning and Their Consequences*, Praeger, Westport, CT.
- Tedeschi, J.T., Schlenker, B.R. and Bonoma, T.V. (1973), *Conflict, Power, & Games. The Experimental Study of Interpersonal Relations*, Aldine, Chicago, IL.
- Toth, E.L. (1986), "Broadening research in public affairs", *Public Relations Review*, Vol. 12 No. 2, pp. 27-36.
- Williamson, O.E. (1985), *The Economic Institutions of Capitalism*, Free Press, New York, NY.
- Wilson, G.K. (1991), "Contract lobbying in the USA", in Jordan, G. (Ed.), *The Commercial Lobbyists: Politics for Profit in Britain*, Aberdeen University Press, Aberdeen, pp. 65-75.

About the authors

Jochen Hoffmann is Assistant Professor, Department of Media and Communication Studies, Karlstad University (Sweden). Prior to this he worked as Assistant Professor at the University of Bern and the University of Zurich in Switzerland. His research focus is on public relations, organizational communication, and political communication. Jochen Hoffmann is the corresponding author and can be contacted at: jochen.hoffmann@kau.se

Adrian Steiner is Political Analyst, Federal Department of Foreign Affairs (Switzerland).

Otfried Jarren is Professor at the Institute of Mass Communication and Media Research and Vice President of the University of Zurich (Switzerland).